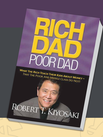
RICH DAD POOR DAD

What The Rich Teach Their Kids About Money – That The Poor And Middle Class Do Not!

ROBERT T. KIYOSAKI



Why do the rich get richer, and the poor get poorer?

By comparing the advice given by his 2 dads - one rich and one poor - Kiyosaki discovered fundamental differences that set the rich apart from the poor and middle class.

WHAT THE RICH KNOW & DO

That the Poor and Middle Class Don't

DON'T WORK FOR MONEY.

Work to learn, and make money work for you.

GET OUT OF THE RAT RACE

Most people are slaves to money. The more we earn, the more we spend, and the more we fear not having enough money.

MAKE MONEY WORK FOR YOU

Money is an illusion; working harder isn't the best solution. Focus your mind on questions like, "How can I make money work for me?", "How can I create income without physically trading my time?"

WORK TO LEARN

Don't work for money and security, but to learn and to overcome your fears.

Learn:

- To manage cash flows, systems and people
- Communication, sales and marketing skills
- The 4 components of financial intelligence

GET FINANCIALLY EDUCATED

Your mind is your greatest asset. Use it.

LEARN ABOUT MONEY

To develop Financial IQ, combine 4 skills:

Accounting:
Understand numbers and financial statements

Investing:
Learn to "make money with money"

Markets:
Understand emotions-driven supply and demand

The Law:
Know how to use the law to protect your assets and gain tax advantages

FOCUS ON BUILDING YOUR ASSET COLUMN

Develop alternative income sources & keep what you earn.

Buy Assets, not Liabilities.
An asset puts money in your pocket; a liability takes it out. If your house is not generating income, it is a liability, not an asset.

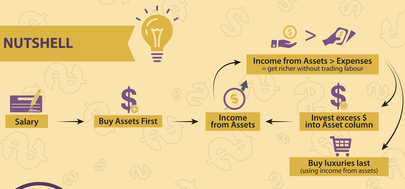
Build wealth (vs net worth)
Focus on wealth (how long you can survive if you stopped working) instead of net worth (your assets minus liabilities).

Buy assets 1st; buy luxuries last.
To get a nicer house or car, buy assets first & use the asset-income to pay for luxuries.

Pay yourself first.
Don't spend your time working for your company, pay tax to the government, pay interest to the bank, *then* pay yourself last.

Mind your own business
Focus on building assets e.g. business that runs without you, royalties, stocks, bonds or income-generatingreal estate.

IN A NUTSHELL



TAKE CHARGE OF YOUR WEALTH

Don't wait for opportunities. Create them.

USE THE POWER OF CORPORATIONS

Leverage corporations:
Corporate income-tax rates are lower than individuals, and are paid after deducting expenses. Use corporations to lower taxes and protect your assets legally.

HONE & USE YOUR FINANCIAL INTELLIGENCE

Create opportunities.
With Financial Intelligence, you can improve your financial position, make something work in your favour, or turn a problem into an opportunity.

Be patient.
Reduce investment risks with practice, passion and experience. Start small and scale up (learning along the way). Have fun and don't take small losses too hard.

Invest in what you love & understand.
The biggest returns come when you can create and package your own investment options.

GETTING STARTED

OVERCOMING 5 KEY OBSTACLES

Fear:
Start asap. Turn failures into rally cries for success.

Cynicism:
Take action inspite of doubts or rumours of doom & gloom.

Arrogance:
Confront what you don't know and learn.

Laziness:
Busy-ness is often an excuse. Motivate yourself with what you want.

Bad Habits:
Pay yourself 1st. Let your bills and creditors "force" you to find new alternatives.

UNLEASHING YOUR FINANCIAL GENIUS

Power of Spirit.
Lock in to your deepest desires & pain.

Power of Choice.
Make your daily choices count.

Power of Association.
Mix with right people & rich friends.

Power of Learning Quickly.

Power of Self-Discipline.
Pay yourself first.

Power of Good Advice.
Pay your brokers well.

Power of Getting Something for Nothing.

Power of Focus.
Focus on building assets first.

Power of Myth.
Get inspiration from your heroes.

Power of Giving.
Give generously to get.